Despite successive moves to liberalize the FDI regime, India is ranked **fourth** on the basis of ***FDI Restrictiveness Index (FRI)*** compiled by **OECD**. FRI gauges the restrictiveness of a country's FDI rules by looking at the ***four*** main types of restrictions:

(i) Foreign equity limitations;

(ii) Screening or approval mechanism;

(iii) Restrictions on the employment of foreigners as key personnel; and

(iv) Operational restrictions.

A score of **1** indicates a closed economy and **0** indicates openness. FRI for India in 2012 was **0.273** (it was 0.450 in 2006 and 0.297 in 2010) as against OECD average of ***0.081***. *China* is the most restrictive country as it is ranked number ***one*** with the score of 0.407 in 2012 indicating that it has more restriction than India. As there is moderation in FDI inflows to India in 2012-13 tahn the last year it is imperative therefore to *rationalize FDI norms* further (as is suggested by the ***Economic Survey 2012-13***). The Survey further adds –

- At present, ***defence sector*** is open to FDI subject to 26 per cent cap. It also requires FIPB approval and is subject to licensing. Within the 26 per cent cap, FII is also permissible subject to the proviso that overall cap is not breached. India needs to open up the defence production sector to get access and ensure transfer of technology. The existing FDI policy for defence sector provides for offsets policy. The offsets policy has been revised recently but its direct and indirect benefits have not had visible impact on the domestic defence industry. By beginning to produce defence goods that advanced countries currently produce, there is scope for productivity improvement, strengthening of manufacturing, generation of employment and lowering of imports in the country.
- There is need to review increasing of FDI cap in ***insurance***. By raising cap to 49 per cent in the insurance sector, there is scope for substantial growth in the coming years. Competition and adoption of best practices could strengthen this sector, reduce premium and expand the services to the vast untapped rural India. This sector